

ASSET PURCHASE AGREEMENT

by and among Northgate Acquisition LLC, as Buyer, Brightline Heating & Air LLC, as Seller, and Ray Kowalski, as Owner

Dated as of July 15, 2026

Excerpt. Article II (Purchase Price and Payment) and Section 2.6 (Holdback) are reproduced in full. Other articles are omitted from this binder copy.

ARTICLE II

PURCHASE PRICE AND PAYMENT

Section 2.1 Purchase Price. The aggregate consideration for the Purchased Assets (the "Purchase Price") is Two Million Four Hundred Thousand Dollars (\$2,400,000), subject to adjustment under Section 2.5, and shall be paid as set out in Section 2.2.

Section 2.2 Payment at Closing. At the Closing, Buyer shall pay or deliver the Purchase Price as follows:

- (a) Two Million One Hundred Ten Thousand Dollars (\$2,110,000) in immediately available funds by wire transfer to the account designated by Seller;
- (b) Fifty Thousand Dollars (\$50,000) (the "Holdback Amount") by wire transfer to Ashcroft Lowe LLP, as holdback agent, to be held and released in accordance with Section 2.6;
- (c) a promissory note in the original principal amount of One Hundred Twenty Thousand Dollars (\$120,000) in the form of Exhibit B-1 ("Seller Note A"); and
- (d) a promissory note in the original principal amount of One Hundred Twenty Thousand Dollars (\$120,000) in the form of Exhibit B-2 ("Seller Note B").

Section 2.3 Seller Note A. Seller Note A shall bear simple interest at six percent (6%) per annum, shall be subordinated to the SBA Loan on a full standby basis for the life of the SBA Loan pursuant to the Standby Creditor's Agreement, and no payment of principal or interest shall be made on Seller Note A while any amount remains outstanding under the SBA Loan. Buyer and Seller acknowledge that Seller Note A is intended to be counted toward Buyer's equity injection under the SBA Loan.

Section 2.4 Seller Note B. Seller Note B shall bear simple interest at six percent (6%) per annum, shall be subject to a standby period of twenty-four (24) months following the Closing Date during which no payments shall be made, and thereafter shall be payable in thirty-six (36) equal consecutive monthly installments of principal and interest, the first such installment being due on **September 15, 2028** and continuing on the fifteenth day of each month thereafter. The principal amount of Seller Note B shall be adjusted as provided in Section 2.4(a).

(a) *Performance Adjustment.* If Trailing Twelve Month Revenue of the Business measured as of the last day of the twenty-fourth (24th) full calendar month following the Closing Date (the "Measurement Date") is less than Three Million One Hundred Thousand Dollars (\$3,100,000) (the "Revenue Threshold"), the principal amount of Seller Note B shall be reduced, dollar for dollar, by the amount of the shortfall, provided that in no event shall the principal amount of Seller Note B be reduced below Sixty Thousand Dollars (\$60,000). Buyer shall deliver its calculation of Trailing Twelve Month Revenue to Seller within thirty (30) days after the Measurement Date, and Seller shall have thirty (30) days to object.

Section 2.5 Net Working Capital Adjustment. The Purchase Price shall be increased or decreased, dollar for dollar, by the amount by which Closing Net Working Capital exceeds or is less than the Target Net Working Capital of Three Hundred Ten Thousand Dollars (\$310,000). Buyer shall deliver a closing statement within ninety (90) days after the Closing Date. Any amount owed to Seller shall be paid within ten (10) business days after the closing statement becomes final; any amount owed to Buyer shall be satisfied first from the Holdback Amount.

Section 2.6 Holdback. The Holdback Amount shall be held by Ashcroft Lowe LLP in a non-interest-bearing client trust account. On the date that is six (6) months after the Closing Date, the holdback agent shall release the Holdback Amount, less any amount applied under Section 2.5 and less any pending indemnification claim under Article VIII, to Seller, provided that the net working capital adjustment under Section 2.5 has been finally settled. If the adjustment has not been finally settled on that date, release shall occur within five (5) business days after final settlement.

Section 2.7 Allocation. The Purchase Price shall be allocated among the Purchased Assets in accordance with Section 1060 of the Code and the allocation schedule attached as Schedule 2.7.

Section 2.8 Transfer Taxes. Seller shall bear all sales, use and transfer taxes arising from the transfer of the Purchased Assets.

[Remainder of Article II intentionally omitted from binder excerpt]

SIGNATURE PAGE TO ASSET PURCHASE AGREEMENT

BUYER: Northgate Acquisition LLC

By: /s/ Dana Whitfield

Name: Dana Whitfield

Title: Managing Member

SELLER: Brightline Heating & Air LLC

By: /s/ Ray Kowalski

Name: Ray Kowalski

Title: Sole Member

OWNER:

By: /s/ Ray Kowalski

Name: Ray Kowalski

Title: Individually